

RBI rate-cut suggests room for further policy easing

In its first meeting of the financial year, the RBI's monetary policy committee voted **unanimously** to lower the policy repo rate by 25 **basis points**. The decision was along expected lines. The repo rate now stands at 6 per cent. Alongside this, the MPC also voted to change the policy **stance** from "**neutral**" to "**accommodative**". **This**, as RBI Governor Sanjay Malhotra elaborated, **implies** that in the absence of any shocks, the committee will consider only two policy actions — either maintaining the **status quo** or cutting interest rates further. The governor also **committed** to providing sufficient system **liquidity**. This signals an easy monetary policy **regime** to **stimulate** the economy.

This rate cut comes **amidst heightened** global uncertainty **following** US President Donald Trump's **imposition** of tariffs on America's trading partners. **Given** the **varied** responses by countries — **for instance**, while China has **retaliated**, **imposing** tariffs on the US, others like Australia have **ruled out** responding **in kind** — the effects of Trump's policies remain uncertain. But the global economic **outlook** has become **muddled**. **Against this backdrop**, the RBI governor **outlined** the likely impact of tariffs on growth and inflation. On growth, he noted that tariff-related uncertainties could impact both investment and spending decisions of households and firms. They will also introduce trade **friction**, affecting both global trade and growth. As a consequence, the central bank has now lowered its **forecast** for growth this year, **pegging** growth at 6.5 per cent, down from 6.7 per cent earlier. This downward **revision**, the governor noted, "**reflects** the impact of global trade and policy uncertainties". Some analysts, however, expect growth to be even lower. On the other hand, while the **outlook** for food inflation **has** turned "decisively positive", and crude oil prices have trended lower, the global environment has injected a degree of uncertainty. The RBI governor noted that while uncertainty could put pressure on the currency, **leading to** imported inflation, the slowdown in global growth may lead to a **softening** of commodity prices. The central bank has now **projected** inflation at 4 per cent this year, down from its earlier forecast of 4.2 per cent. It now expects inflation to average 3.75 per cent in the first half of the year and 4.1 per cent in the second half. The governor has said that "there is now a greater confidence of a durable **alignment** of **headline inflation** with the target of 4 per cent over a 12-month horizon".

This suggests the **space** for further policy easing. The question now is to what extent. Some analysts are now expecting rates to be cut by another 50 basis points, which would bring the repo rate down to 5.5 per cent. However, there is uncertainty. **The pace and the extent** of further reductions in the interest rate **will** be determined by how the domestic growth-inflation dynamic evolves amid the ongoing trade war.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

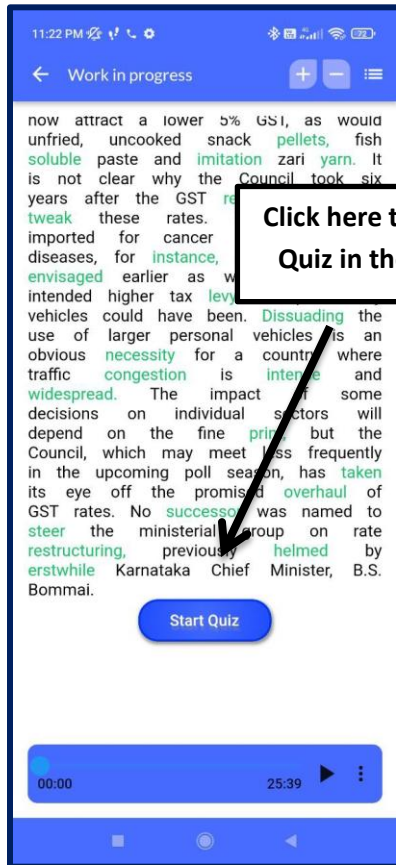
1. **Room** (noun) – scope, space, capacity, margin, allowance गुंजाइश
2. **Easing** (noun) – relaxation, reduction, moderation, loosening, softening सहजता
3. **Unanimously** (adverb) – collectively, without dissent, with one voice, jointly, in agreement सर्वसम्मति से
4. **Basis point** (noun) – 100 basis point = 1%
5. **Stance** (noun) – position, approach, viewpoint, attitude, perspective रुख
6. **Neutral stance** (noun) – A 'neutral stance' suggests that the central bank can either cut rate or increase rate. This stance is typically adopted when the policy priority is equal on both inflation and growth.
7. **Accommodative stance** (noun) – The central bank typically adopts an accommodative policy when growth needs policy support and inflation is not the immediate concern.
8. **Imply** (verb) – suggest, indicate, mean, signify, infer संकेत देना
9. **Status quo** (noun) – existing state, present condition, unchanged situation, current state, the way things are यथास्थिति
10. **Commit** (verb) – pledge, promise, dedicate, undertake, agree प्रतिबद्ध होना
11. **Liquidity** (noun) – The availability of liquid assets, such as cash, to a market or company, ensuring ease of transactions
12. **Regime** (noun) – system, arrangement, scheme, code व्यवस्था
13. **Stimulate** (verb) – boost, encourage, spur, promote, energize प्रोत्साहित करना
14. **Amidst** (preposition) – in the middle of, among, during, surrounded by, while के बीच
15. **Heightened** (adjective) – increased, intensified, elevated, escalated, amplified बढ़ा हुआ
16. **Following** (preposition) – after, subsequent to, as a result of, in the wake of, next के बाद
17. **Imposition** (noun) – enforcement, application, introduction, enactment, levying थोपना
18. **Given** (preposition) – considering, in view of, taking into account, due to, based on ध्यान में रखते हुए
19. **Varied** (adjective) – diverse, different, assorted, mixed, multiple विविध
20. **For instance** (phrase) – for example, such as, like, namely, to illustrate उदाहरण के लिए

21. **Retaliate** (verb) – respond, counterattack, hit back, take revenge, fight back जवाबी कार्रवाई करना
22. **Impose** (verb) – enforce, apply, introduce, place, implement थोपना
23. **Rule out** (phrasal verb) – exclude, eliminate, reject, dismiss, prohibit नकार देना
24. **In kind** (phrase) – in the same way, in a similar form, reciprocally, equivalently, similarly उसी रूप में
25. **Outlook** (noun) – forecast, expectation, perspective, view, projection दृष्टिकोण
26. **Muddled** (adjective) – unclear, confused, blurred, clouded, obscured अस्पष्ट
27. **Against this backdrop** (phrase) – in this context, considering this situation, in light of this, under these conditions इस पृष्ठभूमि में
28. **Outline** (verb) – describe, explain, sketch, summarize, detail रूपरेखा प्रस्तुत करना
29. **Friction** (noun) – tension, conflict, disagreement, clash, resistance संघर्ष / मतभेद
30. **Forecast** (noun) – prediction, projection, outlook, estimate, speculation पूर्वानुमान
31. **Peg** (verb) – fix, set, determine, estimate, anchor स्थिर करना
32. **Reflect** (verb) – indicate, show, reveal, demonstrate, express दर्शाना
33. **Lead** (to) (verb) – result in, cause, bring about, give rise to, contribute to कारण बनना
34. **Softening** (noun) – reduction, decline, easing, weakening, moderation नरमी
35. **Project** (verb) – estimate, forecast, predict, anticipate, calculate अनुमान लगाना
36. **Alignment** (noun) – coordination, conformity, arrangement, harmony, adjustment मेल
37. **Headline inflation** (noun) – the overall increase in prices of goods and services in an economy
38. **Space** (noun) – scope, capacity, room, margin, opportunity गुंजाइश

Summary of the Editorial

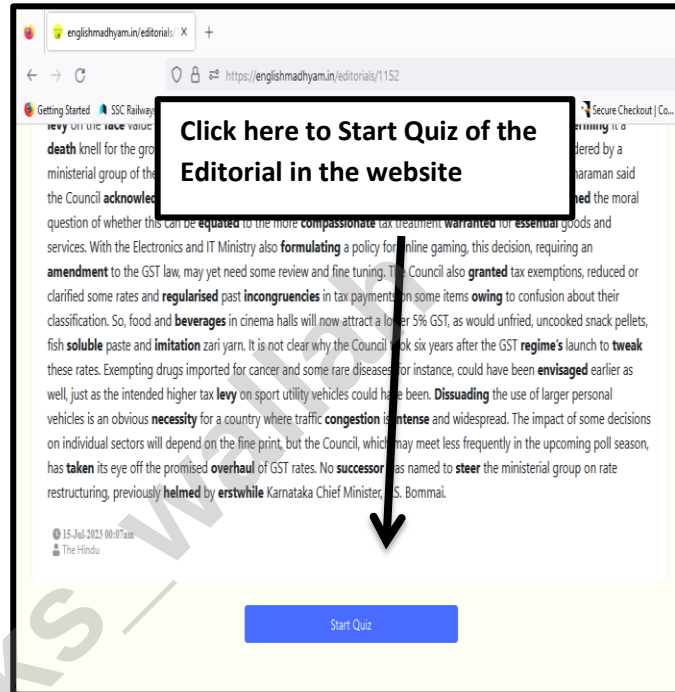
1. **Repo Rate Cut** – The RBI's Monetary Policy Committee (MPC) reduced the repo rate by 25 basis points, bringing it down to 6%.
2. **Unanimous Decision** – All members of the MPC voted in favor of the rate cut, showing consensus on the need for policy easing.
3. **Stance Shift** – The policy stance was changed from “neutral” to “accommodative,” signaling potential for further rate cuts.
4. **Limited Policy Options** – Under the new stance, the RBI will either maintain current rates or reduce them further, barring any economic shocks.
5. **Liquidity Assurance** – RBI Governor Sanjay Malhotra emphasized that sufficient liquidity would be provided to support growth.
6. **Stimulating the Economy** – The measures are aimed at making borrowing cheaper to encourage investment and consumption.
7. **Global Uncertainty** – The move comes amid global tensions, particularly due to U.S. President Trump's tariff impositions on trade partners.
8. **Impact on Growth** – Tariff wars are expected to disrupt trade and investment decisions, leading to slower economic growth.
9. **Growth Forecast Lowered** – The RBI has reduced India's growth projection for the year from 6.7% to 6.5%.
10. **Analyst Concerns** – Some experts predict growth could dip even further due to ongoing trade uncertainties.
11. **Inflation Outlook** – While food inflation is expected to rise, lower crude prices and global slowdown could soften overall inflation.
12. **Revised Inflation Projections** – The RBI now expects inflation to be 4% for the year, down from an earlier estimate of 4.2%.
13. **Split Inflation Forecast** – Inflation is expected to average 3.75% in H1 and 4.1% in H2 of the financial year.
14. **Room for Further Cuts** – With inflation under control, the RBI has more leeway to ease policy further.
15. **Future Rate Cuts Conditional** – Further reductions in interest rates will depend on how domestic growth and inflation evolve amid global trade tensions.

Practice Exercise: Banking Pattern Based



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